

Risk if interest rates rise	Ease of sale before maturity	Exempt from most state income taxes?	Exempt from Federal income tax?	Benchmark	Yield 12/31/2002
Very low	High	Y	N	90-day	1.2
Moderate	High	Y	N	5-year	2.7
				10-year	3.8
High	High	Y	N	30-year	4.8
Very low	Low	Y	N	EE bond Series bought after May 1995	4.2
Low	Low	N	N	1-year not'l. avg.	1.5
Low	High	N	N	Taxable money market avg.	0.8
Moderate to high	Moderate to low	N	N	Lehman Bros. MBS Index	4.6
Moderate to high	Moderate to low	N	Y	National Long-Term Mutual Fund avg.	4.3
High	Moderate to low	N	N	None	Highly variable
Moderate	Low	N	N	Merrill Lynch High Yield Index	11.9
Moderate	Low	N	N	Emerg. Mkts Bond fund avg.	8.8

Savings bonds, unlike Treasuries, are not marketable; you cannot sell them to another investor, and you'll forfeit three months of interest if you redeem them in less than five years. Thus they are suitable mainly as "set-aside money" to meet a future spending need—a gift for a religious ceremony that's years away, or a jump start on putting your newborn through Harvard. They come in denominations as low as \$25, making them ideal as gifts to grandchildren. For investors who can confidently leave some cash untouched for years to come, inflation-protected "I-bonds" recently offered an attractive yield of around 4%. To learn more, see www.savingsbonds.gov.

Moving Beyond Uncle Sam

Mortgage securities. Pooled together from thousands of mortgages around the United States, these bonds are issued by agencies like the Federal National Mortgage Association ("Fannie Mae") or the Government National Mortgage Association ("Ginnie Mae"). However, they are not backed by the U.S. Treasury, so they sell at higher yields to reflect their greater risk. Mortgage bonds generally underperform when interest rates fall and bomb when rates rise. (Over the long run, those swings tend to even out and the higher average yields pay off.) Good mortgage-bond funds are